



Fundamentals of Financial Stewardship

Century Golf is a Revenue-generating company first, but, as good financial stewards, also fosters a culture of cost-awareness at all levels. We coach and train our Team Leaders on understanding their Clubs financial potential and to spend the Club's (private clubs, resort clubs, daily fee golf clubs) expense dollars as if they owned the business. This document serves as a guide to our core stewardship strategies and the practice of systematically increasing revenues and managing costs to ensure financial success. Senior Team Leaders model financial stewardship, regularly reviewing revenue strategy results and cost performance with field leaders, and make outcomes visible across the company.

Financial stewardship:

- Is **not** arbitrary cost cutting. It is acting like an owner and making informed choices about where every dollar goes.
- Is **not** compromising the member/guest experience. It is investing where the experience is made and protecting it from waste everywhere else.
- Is **not** compromising our team members. It is staffing and scheduling with discipline so our people can do their best work.
- Is **not** finance policing operations. It is leaders at every level owning their numbers as their own.
- Is **not** deferring investment in long-term assets or experience. It is protecting what we have today so we can reinvest with confidence tomorrow.

The Ten Fundamentals of Financial Stewardship:

1. *Good Show: Our people and Members & Guests come first. We lead from the floor, supporting the experience as it happens.*
2. *Know your numbers to make your numbers.*
3. *We forecast proactively – understanding the business before it happens.*
4. *We own our results with our teams weekly – no surprises.*
5. *We plan labor based on demand – with discipline, not reaction.*
6. *We preserve our assets with an owner's mentality.*
7. *We flex with the season, day and situation.*
8. *We buy as a portfolio – our scale is our leverage.*
9. *We manage cash and inventory like our own.*
10. *We price and cost with intent – every product, every event.*

1: Good Show: Our people and Members & Guests come first. We lead from the floor, supporting the experience as it happens.

- We are out of offices, out from behind counters, and on the floor – driving range, cart staging, golf course, dining room – during identified high-demand times.
- We practice **Managing by Walking Around (MBWA)** – observing our Team Members, engaging Members & Guests, and catching what reports never will.
- We will provide a safe environment for our Members & Guests by creating a **safety culture** within our teams following the company safety program.
- We lead with a **“Schedule Within the Schedule”** – every Team Member knows their planned duties for the shift, and leaders are visibly reinforcing them.
- Presence is stewardship. Being on the floor surfaces both the service opportunities and the cost opportunities that no MOS or dashboard can show us.

#2: Know your numbers to make your numbers.

- We know each club's profit potential – every revenue and expense opportunity, measured against benchmarks and the competitive market.
- We measure what matters – daily and weekly – across revenue and expense: rounds, tee sheet utilization, F&B, membership dues, roster openings, PACE reporting, event participation, payroll, and spend against like-club benchmarks. We use **Spread Analysis** as our guiding philosophy in measuring our financial results, successes and opportunities. Optimum result is a higher revenue % of growth compared to expense % of growth (e.g. 5% Revenue Growth – 3% Expense Growth = +2% Net Growth; the variance between the Revenue % and Expense % is the “spread”).
- We manage to targets - spread, flow-through %, labor % of revenue, COGS % of revenue, inventory turn rates and other metrics as needed.
- We coach and train **“flex and flow through”** by setting expectations with our Department Team Leaders on how to be **effectively efficient** while maintaining their Club's operating standards.

#3: We forecast proactively – understanding the business before it happens.

- We monitor our revenue trends up to six months out to understand future open revenue opportunities (weddings, corporate meetings, tournament outings, etc.).
- We run our Revenue Team concept regularly to seek new strategies to drive incremental revenues for the Club.
- We update PACE reports weekly for Catering and Tournament Outings – measured against prior year and current-year budget. The Clubs update their PACE reports for Catering and Tournament Outings weekly to measure progress compared to this time last year and the overall budget for the current year.
- General Managers will review the rolled-up forecast results two weeks prior to the start of any given month with the Club's Department Team Leaders and make necessary adjustments to reach budgeted goals or levels of flow through and/or flex desired.

- The summary MOS is distributed each week to all Department Team Leaders and appropriate operational support staff to allow for questions and strategic assistance if needed.
- We use this process to train our Department Team Leaders in managing their business (department) and knowing their numbers.

#4: We own our results with our teams weekly – no surprises.

- General Managers need to receive consistent and immediate communication about factors impacting the financial results within a given week or month. Variance notes are to be entered in weekly MOS reports.
- If necessary, smart adjustments will be made based on shortfalls or windfalls.
- From time to time, departments may be asked to carry a piece of the load to support the Club's overall goal of achieving monthly results.
- Material variances are explained with a corrective plan; surprises are avoided through timely, open communication.

#5: We plan labor based on demand – with discipline, not reaction.

- Our General Managers and Department Team Leaders will evaluate staffing levels frequently throughout the day by walking around within departments (**MBWA – managing by walking around**).
- SMART Hours of Operation decided based on historic demand and Member/Guest expectations.
- We provide effective **labor scheduling tools** to our Department Team Leaders to make it easy for them to know their labor numbers daily. (e.g., Unifocus, Excel Spreadsheets, ADP).
- Leaders stay close to how those tools are being used, coaching for consistency and reinforcing the planning discipline they enable.
- We staff to demand signals – rounds, covers, events, and weather – with manager judgment applied.
- We run total costs of a Labor Schedule so we can view daily and weekly totals including all payroll taxes, commissions, and any other related labor costs within a department.
- We factor in benefits costs in our assessment of Full-Time positions versus Part-Time within our operations.
- We measure daily, our labor to revenue % to trigger initiative-taking adjustments to be more efficient. At the same time, strategize on how to grow revenues during these slower times.
- We limit “over-time” hours to only when necessary.
- We strategically consider using contract labor when necessary to cover open positions or reduce overall labor.
- Our General Managers understand by department who our A, B and C players are internally.
- We cross train for FOH (front-of-the-house) and BOH (back-of-the-house) flexibility.
- We stagger schedules as to when Team Members are arriving and departing based on business needs. All labor schedules will be based on business trends and needs with no set schedules.

- Promote a “**Schedule within the Schedule**” by department. What are the planned duties during a given shift? i.e. Golf Professionals out of office and on the driving range with Members/Guests, on the golf course evaluating pace of play, and in cart staging area with Team Members. See Good Show below.
- We compare our labor levels to “like” clubs within our portfolio to seek smart opportunities.

#6: We will preserve our assets with an owner’s mentality.

- We have a stewardship mindset treating all assets – financial, physical, and human as resources entrusted to our care. In this area, shift mindset from “**spending control**” to “**value protection**.”
- We protect our assets before we spend. Prioritize maintaining and safeguarding existing assets before allocating funds to new purchases.
- We maximize asset life. Ensure equipment, facilities and resources are used responsibly, well-maintained, and optimized to their full potential. Maintain X Tool.
- We reduce waste. Avoid unnecessary wear, duplication, or misuse that shortens the lifespan of our assets.

#7: We flex with the season, day and situation.

- During slower times, we strategically adjust our regular 40-hour per week schedules down to appropriate levels such as 34 - 38 hours *when and where possible*.
- We will encourage and teach how to hire more Part Time Team Members that do not require minimum hours on a weekly basis.
- We plan for staffing levels that match demand and Member/Guest expectations; scale up for signature moments, trim off-peak, while protecting brand and service standards.

#8: We buy as a portfolio – our scale is our leverage.

- Clubs default to full participation in company-approved purchasing programs and vendor partnerships. Programs aim to deliver value in quality, reliability, service, rebates, and total cost of ownership. Case-by-case exceptions exist only where they deliver clearly superior value for our Members/Guests and Clubs. Compliance is expected and visible.
- We will measure by Club the compliance of program support.
- Discounts and rebates go back to the Club level profit and loss statements.
- Communications with the Leadership Support Team and our vendor partners are critical in maximizing the Club’s savings and satisfaction.
- Vendor Partners and Products include:
 - o Golf Merchandise preferred vendors (see Par Level plan)
 - o Golf Course maintenance chemical and fertilizer vendors. Early Order Program (EOP).
 - o Golf Course maintenance equipment purchasing preferred pricing with vendors.
 - o Golf car and Beverage car equipment preferred offerings.

- Food & Beverage products and supplies through Sysco and Entegra contract.
- Operating supply and equipment purchasing through Entegra.
- Each Department Team Leader and purchasing agent must go through an Entegra purchasing orientation to understand the vast savings potential on supplies offered through Entegra.

#9: We manage cash and inventory like our own.

- We will understand our cash position at each Club by reviewing its cash report weekly.
- Cash balances will be proactively managed before commitments of cash are made for capital projects, inventories, and larger operational purchases.
- Clubs own their working capital and actively monitor cash positions and drivers of cash – par levels and ordering discipline, inventory levels and turns, vendor terms, and rebate capture.
- **Par levels** decided based on levels of business per department, for a given month, for retail merchandise, food, alcohol, paper goods, golf course maintenance chemicals & fertilizers and miscellaneous supplies.
- We expect minimum stock (fluctuating par levels) knowing we can get frequent deliveries of most products the Club carries.
- Inventories are taken each month and spot checked by our accounting teams as part of our monthly closing process.
- We will provide the Club's with benchmarking reports on inventory levels compared to revenues in merchandising and food & beverage.
- All products are to be locked up appropriately with limited keys to storage areas.

#10: We price and cost with intent – every product, every event

- We produce profit and loss statements (**P&L's**) on each of our larger events to measure profitability. i.e. Member-Guest Income Statement, Outside Wedding events, Christmas Parties, Monday Outings, Easter, Mother's Day, and Member events.
- In food & beverage, we will produce cost/recipe cards on each menu item to set appropriate prices and reduce over-portioning. We use menu engineering for efficient use of food products.
- For Golf retail, we will run theoretical margin reports from the point-of-sale system to compare the system margin versus the completion of our monthly cost of sales worksheet.
- We track cost % versus industry benchmarks.